

Interview Feedback

Brew & Bean Profitability · 2026-10-03 · Overall: needs work

Top improvement

When asked for a recommendation, commit to one using the evidence you already have instead of waiting for more data. You had proven that input costs rose about 38% while menu prices stayed flat, so say: 'Raise prices selectively and renegotiate supply across all inputs. The risk is traffic loss, so test the price increase first and benchmark competitors.'

Rubric Scores

Problem Structuring

adequate

What needs work

You laid out a recognizable profit-based framework with explicit enumeration and relevant coffee-chain sub-points, including specific COGS components. However, the third bucket overlaps the second: commodity prices and wage inflation drive COGS and labor rather than forming a separate category, so the structure was not fully MECE.

"Third, external factors: commodity prices, wage inflation, competition."

"I'd look at three buckets."

"Second, cost structure: I'd want COGS — coffee beans, dairy, cups — then labor, then rent/occupancy, then corporate overhead, and see which line grew fastest as a percent of revenue."

When asked, you gave a well-reasoned prioritization grounded in the case facts (revenue grew, so the problem is on the cost side). But you prioritized only after the interviewer prompted you, restated the situation without the objective (find the root cause and recommend a reversal), and did not tie the structure to the decision the CEO must make.

"So revenues are up 15% but net margin fell from 24% to 6% — that's a huge drop, so costs must be growing much faster than revenue."

"The margin fell 18 points while revenue actually grew, so the problem is almost certainly on the cost side rather than demand"

Missed opportunities

Opening framework in turn 1, before the interviewer had to ask which bucket to prioritize.

A great answer: "The CEO wants the root cause of an 18-point margin drop and a way to reverse it. Revenue grew 15%, so my hypothesis is that costs, likely COGS, are the driver. I'll split profit into revenue (price × volume, same-store vs. new stores) and costs (COGS, labor, occupancy, overhead). I'll start with costs as a percentage of revenue. Then I'll check pricing power and whether peers face the same input inflation, because that tells us whether the fix is pricing, procurement, or both."

Quantitative & Analytical Rigor

strong

What went well

You set up and correctly computed a weighted-average test of input inflation (roughly 38%, which takes the 42% COGS ratio to 58%, matching the data). However, you never labeled the '10 points' and '28.1 points' as contributions to COGS growth rather than points of revenue. Converting them would have made the split explicit: about 4.2 points from beans and about 11.8 from other inputs, out of the 16-point rise.

"Beans were 25% of COGS and rose 40% '0.25 × 40% = 10 points."

"Old COGS was 42% of revenue. Since menu prices are flat, that 42% scales directly with input cost: 42% × 1.38 = 58%."

Under challenge, you laid out the ratio equation explicitly and sanity-checked it a second way using a revenue index. Both checks were arithmetically correct.

"COGS as a share of revenue is really (unit cost × units) ÷ (price × units)."

"And 66.7 ÷ 115 = 58%. Same answer, so it holds either way."

You stated the business implication of the numbers clearly, including the distinction between margin and profit dollars.

"So they've essentially absorbed two years of broad commodity inflation without passing any of it through."

"Where volume does matter is absolute profit dollars, not margin — more units at a thinner spread."

Missed opportunities

After computing roughly 38% COGS inflation in turn 7.

A great answer: "In revenue terms, beans were 10.5% of revenue, so a 40% rise adds about 4.2 points. Other inputs were 31.5% of revenue, so a 37.5% rise adds about 11.8 points. Beans explain only about a quarter of the 16 points, which means a bean-only fix won't close the gap."

Data & Exhibit Interpretation

strong

What went well

You reconciled the cost data against the margin decline and isolated COGS as the driver.

"COGS up 16 points, overhead up 2 points, labor flat — that's 18 points, which exactly matches the margin decline from 24% to 6%. So COGS is ~90% of the story."

You drew the implication from the flat store count and proposed a specific next step: decompose COGS into unit cost versus usage, and check price history.

"So the question is what's inside COGS."

"Do we have that COGS split, and do we have menu price history over the two years?"

You did not stop at beans; you noticed that the non-bean basket inflated almost as much.

"Interesting that it's not just beans — the non-bean basket rose almost as much."

Business Judgment & Insight

needs work

What needs work

You offered no practical lever at all, even after concluding that flat prices plus input inflation fully explain the decline. That finding already points to pricing and procurement actions.

"I don't know, I'd need more data."

"I can't commit without the COGS breakdown."

Your diagnostic judgment in the analysis was sound: you distinguished an input-price spike from waste or over-portioning and tested which fit the data. You then undercut that conclusion by demanding a per-cup COGS split, even though you had already found that broad-based input inflation fully explains the gap, so that data would not have changed the direction of the answer.

"Without it I can't tell which input is actually driving the spread, so I can't say which lever to pull."

"So input inflation fully explains the 16-point move — there's no waste or portioning problem hiding in there."

You surfaced no risks or mitigations, such as price elasticity or competitor pricing.

"Both, in principle. But I can't say which without the COGS detail."

Missed opportunities

Turn 18: the interviewer said 'prices haven't moved in two years while input costs have risen sharply. What would you do about that?'

A great answer: "I'd raise prices, selectively, starting with specialty drinks where customers are less price-sensitive. I'd also renegotiate supply contracts across beans, dairy and packaging. The main risk is losing traffic, so I'd test the increase in a subset of stores and benchmark against competitors first."

Creativity & Brainstorming

needs work

What needs work

You produced zero ideas when asked to brainstorm, even after the interviewer explicitly suggested buckets (price, input costs, menu/customer).

"Hmm, I'm not sure."

"I'm stuck, sorry."

You had no mini-structure, no idea variety, no non-obvious idea, and no prioritization. You never got beyond acknowledging that both levers exist.

"Both, in principle. But I can't say which without the COGS detail."

Missed opportunities

Turn 12: the interviewer offered buckets: 'Think about the levers on price, on input costs, and on the menu or customer side.'

A great answer: "I'll use those three buckets. Price: a selective increase on specialty drinks, and size-tier repricing. Input costs: multi-year bean contracts, consolidating dairy and packaging suppliers, reducing cup sizes or packaging spec.

Menu and customer: push higher-margin items, launch a lower-cost house blend, and use loyalty offers to soften the price increase. I'd prioritize pricing first, because prices have been frozen for two years, then procurement."

Synthesis & Recommendation

needs work

What needs work

You gave no committed recommendation, despite repeated direct requests and both a Level 1 assist ('Take your time') and a Level 2 assist ('Let's simplify').

"I don't know, I'd need more data. I can't commit without the COGS breakdown."

"I'm stuck, sorry. I'd need that breakdown first."

Your mid-case synthesis after the COGS analysis was crisp and insight-led, but you never carried those findings (flat prices, ~38% input inflation) through to an answer. As a result, there were no supporting reasons, risks, or next steps.

"I can't commit without a more detailed breakdown of what's inside COGS."

"So they've essentially absorbed two years of broad commodity inflation without passing any of it through."

Missed opportunities

Turn 28: the interviewer asked 'with menu prices unchanged for two years and input costs up, what is your recommendation to the CEO?'

A great answer: "My recommendation is to raise menu prices selectively and tighten procurement. Margin fell 18 points almost entirely because input costs rose about 38% while prices stayed frozen for two years. Inflation hit every input, not just beans, so procurement has to cover dairy and packaging too. The key risk is losing traffic, so next steps are to test pricing in a few markets and benchmark competitors."

Communication & Delivery

adequate

What went well

In the first half you were top-down, used hypothesis language, and narrated your structure before the detail.

"So revenues are up 15% but net margin fell from 24% to 6% — that's a huge drop, so costs must be growing much faster than revenue."

"I'd look at three buckets."

What needs work

You built cleanly on the interviewer's challenge on the math. In the second half, though, communication collapsed into repeated non-answers that did not build on the interviewer's cues.

"I'm stuck, sorry."

"Hmm, I'm not sure."

"Fair challenge — let me redo it on a per-unit basis rather than on totals."

Missed opportunities

Turn 11: your first response to the brainstorm question.

A great answer: "Let me think out loud. My working hypothesis is that the fix starts with pricing, because prices have been frozen while costs rose 38%. Let me lay out the levers in three groups and then prioritize."

Pushback, Composure & Case Leadership

needs work

What needs work

You were passive through the second half and ignored multiple hints, including a Level 1 anchor ('Take your time') and a Level 2 narrowing hint ('Let's simplify'). The recommendation branch was never completed, even with assistance.

"I'm stuck, sorry."

"I don't know, I'd need more data."

On the math challenge, you acknowledged the pushback and held your position with explicit reasoning and a second-method check, without capitulating or getting defensive. Later, however, you kept requesting data the interviewer had said was unavailable instead of adapting to that feedback.

"A unit-level COGS split — bean, dairy, packaging, food — per cup, with volumes."

"I'm stuck, sorry. I'd need that breakdown first."

"Fair challenge — let me redo it on a per-unit basis rather than on totals."

"The 15% volume growth doesn't affect it."

Missed opportunities

Turn 26: the interviewer said 'I don't have a per-cup split... What I do have is the input cost changes and flat menu prices.'

A great answer: "Understood. I'll work with what we have. Since every input category rose 37–40% and prices haven't moved, the answer doesn't depend on which input leads. I'd pull the price lever first and pair it with procurement across all inputs."

Model Answer

Structure

Strong structure disaggregates profit = revenue - costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

How would you like to approach this? Feel free to take a moment to gather your thoughts first.

Candidate · 1:30

Let me take a second to structure.

So revenues are up 15% but net margin fell from 24% to 6% — that's a huge drop, so costs must be growing much faster than revenue. I'd start by confirming the profit equation: $\text{profit} = (\text{price} \times \text{volume}) - (\text{variable costs} + \text{fixed costs})$.

I'd look at three buckets. First, revenue quality: is the 15% growth coming from new store openings, same-store traffic, or price increases? Growth from new stores can carry heavy ramp-up costs. Second, cost structure: I'd want COGS — coffee beans, dairy, cups — then labor, then rent/occupancy, then corporate overhead, and see which line grew fastest as a percent of revenue. Third, external factors: commodity prices, wage inflation, competition.

To start — do we have a breakdown of costs as a percentage of revenue for both years?

Interviewer · 1:33

Before I get to the data: you've given me three buckets. I'll come to that data shortly. Which of them would you prioritize first, and why?

Candidate · 3:04

I'd prioritize the cost structure first. The margin fell 18 points while revenue actually grew, so the problem is almost certainly on the cost side rather than demand — if volume or pricing had collapsed, we'd see revenue decline, and we don't.

Within costs, I'd sequence by size: the biggest lines in a coffee chain are typically COGS and labor, each roughly 25–30% of revenue, then occupancy. An 18-point margin swing is large enough that it likely sits in one or two of those big lines, not in overhead.

Revenue quality is my close second, though — if the 15% growth came from opening new stores, then fixed costs like rent and pre-opening expense would have jumped, and that's really a cost story too. So I'd want to know store count in both years alongside the cost breakdown.

Interviewer · 3:06

Understood. You asked for the cost breakdown for both years and store count, so here they are. COGS is 58% of revenue today, up from 42% two years ago. Labor is 22% of revenue, and it's been stable. Overhead is 14% of revenue, up slightly from 12%. 200 stores today — and it was 200 stores two years ago, so the footprint hasn't changed.

Candidate · 4:37

That's clean. Let me check it adds up: COGS up 16 points, overhead up 2 points, labor flat — that's 18 points, which exactly matches the margin decline from 24% to 6%. So COGS is ~90% of the story.

And since store count is flat at 200, the 15% revenue growth is all same-store — either more transactions or higher prices. That actually makes the COGS story worse: if they raised prices, revenue per unit went up and COGS% still climbed 16 points, meaning input costs rose even faster than that.

So the question is what's inside COGS. I'd want it split into coffee beans, dairy, other food, and packaging, and ideally unit cost versus units consumed — a price spike looks very different from waste or over-portioning.

Do we have that COGS split, and do we have menu price history over the two years?

Interviewer · 4:40

Available items match: `bean_share_of_cogs`, `bean_price_change`, `non_bean_input_change`, `menu_price_change`. Coffee beans were 25% of COGS two years ago. Raw coffee bean costs are up 40% over the past two years. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years. Menu prices have not changed in two years.

Candidate · 6:12

Let me test whether input inflation alone explains it. Beans were 25% of COGS and rose 40% ' $0.25 \times 40\% = 10$ points. Other inputs were 75% and rose 37.5% ' $0.75 \times 37.5\% = 28.1$ points. Total COGS inflation H 38%.

Old COGS was 42% of revenue. Since menu prices are flat, that 42% scales directly with input cost: $42\% \times 1.38 = 58\%$. That's exactly where COGS sits today. So input inflation fully explains the 16-point move — there's no waste or portioning problem hiding in there.

And with prices flat and store count flat, the entire 15% revenue growth is volume — they're selling about 15% more units at unchanged prices while each unit costs 38% more to make. So they've essentially absorbed two years of broad commodity inflation without passing any of it through.

Interesting that it's not just beans — the non-bean basket rose almost as much.

Interviewer · 6:15

They then applied that to old COGS of 42% of revenue to reach 58%. But that scaling treats revenue as flat, while revenue grew 15%. The conversion needs a check, but the unit flag here concerns the shares of COGS, which they've handled with consistent bases. The cleaner issue is the 42% to 58% step. Walk me through the step from 42% to 58%. Does multiplying old COGS as a share of revenue by the input inflation figure account for the 15% revenue growth?

Candidate · 7:46

Fair challenge — let me redo it on a per-unit basis rather than on totals.

COGS as a share of revenue is really $(\text{unit cost} \times \text{units}) \div (\text{price} \times \text{units})$. The units cancel, so volume growth drops out entirely — the ratio only moves if unit cost or price moves. Unit cost is up 38%, price is flat, so the ratio goes $42\% \times 1.38 \div 1.00 = 58\%$. The 15% volume growth doesn't affect it.

Sanity check on totals: if revenue index goes 100 ' 115, old COGS at 42% would be 42 ' 48.3 at constant unit cost, then $\times 1.38 = 66.7$. And $66.7 \div 115 = 58\%$. Same answer, so it holds either way.

Where volume does matter is absolute profit dollars, not margin — more units at a thinner spread.

Interviewer · 7:48

Understood. The derivation holds. Beyond what we've discussed, what could the client do to reverse the margin decline?

Candidate · 8:08

Hmm, I'm not sure.

Interviewer · 8:10

Take a minute if you need it. Think about the levers on price, on input costs, and on the menu or customer side. What ideas come to mind?

Candidate · 8:47

I don't know, I'd need more data.

Interviewer · 8:49

Take your time. The question on the table is what the client could do to reverse the margin decline, and I'm looking for ideas even without more data.

Candidate · 9:18

I can't commit without a more detailed breakdown of what's inside COGS.

Interviewer · 9:20

Understood, but the CEO needs a direction from us, and a breakdown inside COGS isn't something I have. Using what we know about this client, what's one action you'd put in front of the CEO, and why?

Candidate · 9:44

I'm stuck, sorry.

Interviewer · 9:46

That's okay. Start from what you found: prices haven't moved in two years while input costs have risen sharply. What would you do about that?

Candidate · 10:06

Hmm, I'm not sure.

Interviewer · 10:08

Let's simplify. Margin per cup depends on what the client charges and what each cup costs to make, so which of those two can the client change?

Candidate · 10:25

Both, in principle. But I can't say which without the COGS detail.

Interviewer · 10:27

Okay, both can move. The detail isn't available, so you'll need to work with what we have. Pick one of those two levers and tell me how you would pull it.

Candidate · 10:49

I don't know, I'd need more data.

Interviewer · 10:50

You can ask me for a specific piece of data if it would change your answer. Tell me what you'd want to know, and why it would change which lever you pull.

Candidate · 11:22

A unit-level COGS split — bean, dairy, packaging, food — per cup, with volumes.

Without it I can't tell which input is actually driving the spread, so I can't say which lever to pull.

Interviewer · 11:25

I don't have a per-cup split by input or volumes at that level. What I do have is the input cost changes and flat menu prices, so which lever would you pull with that, and what would you tell the CEO?

Candidate · 11:48

I'm stuck, sorry. I'd need that breakdown first.

Interviewer · 11:51

Understood. I'll ask once more: with menu prices unchanged for two years and input costs up, what is your recommendation to the CEO?

Candidate · 12:08

I don't know, I'd need more data. I can't commit without the COGS breakdown.

Interviewer · 12:10

That's our time. Thanks for working through this with me — your written report will follow.